

CME Cobalt Calendar Spread Trade: Long Cobalt CMX Mar27 - Short Cobalt CMX Dec26, September 2026
BU Cobalt [Donald, Timur, Audarya]

Commodity Overview

Global cobalt production is significantly concentrated: DRC ~73% + Indonesia ~14% = ~87% of global production. Around 99% of cobalt is produced as a by-product of copper or nickel, making supply relatively inflexible. Downstream processing is similarly concentrated; China refines ~79% of global cobalt. Cobalt hydroxide, a primary intermediate feedstock, is refined into 99.8%+ Cobalt Metal and Chemical Products, including Cobalt Sulfate.

Demand Supply

Global Cobalt Demand: 276kt in 2025 (+13% YoY).

Battery applications remain the principal growth driver, alongside aerospace, defence and electronics.

Superalloys and Hard Metals together drive more than ~50% of the entire demand for refined cobalt metal.

DRC Quota: 2026 exports capped at **96.6kt contained Co: 87kt producer quota + 9.6kt strategic quota**, dramatically below unconstrained 2025 DRC mine output.

Delayed Supply Delivered: DRC hydroxide exports rose **92.9% MoM** in June 2026.

Investment Thesis

A calendar spread consisting of Short Dec26 and Long Mar27 CMX Cobalt Futures. The trade exploits the transition from temporary short-term supply relief to a Long-Term structural deficit caused by the DRC's shift from an export ban to a quota system, releasing accumulated inventory backlogs and depressing upcoming prices. Mar27 outperforms as the market digests this temporary relief and readjusts to a sustained structural deficit governed by the 96.6kt/year export cap.

Trade Terms and Returns

17 September 2026 marks: Long Mar27 \$21.25/lb and Short Dec26 \$22.82/lb. Entry (Mar minus Dec): -\$1.57/lb. Contract: 2,204.62 lb, cash-settled on the monthly average Fastmarkets standard-grade Rotterdam midpoint.

Capital and costs: \$100,000 allocated; 15 matched spreads. Each \$0.10/lb spread move changes gross P&L by \$3,307. Assumed round-trip costs for both legs are \$0.35/lb (\$11,574); breakeven is -\$1.22/lb.

Short Dec-26 / Long Mar-27 CMX Cobalt Futures at a -\$1.57/lb Mar-Dec spread, with the thesis being that the backwardation narrows.

Scenario	Mar-Dec Exit Spread	Spread Move Vs Entry Gross P/L Net P/L	Return on 100K
Bull Case	\$0.00/lb	\$1.57/lb \$51,919 \$40,345	40.3%

Base Case -\$1.00/lb \$0.57/lb \$18,850 \$7,275 7.3% Bear Case -\$2.26/lb -\$0.69/lb -\$22,818 -\$34,392 -34.4%

Risks and Exit Discipline

- Exit Rule: Close both legs at -\$1.00/lb, on a fall to -\$1.82/lb, or by 30 November, whichever occurs first.
The loss trigger implies -\$19,842 (-19.84%) after modeled costs, before excess slippage.
Exit earlier if shipments miss December or evidence undermines March's relative tightness.
- Execution Controls: Confirm depth, costs and broker margin before entering matched spread limit orders. Monitor P&L and margin headroom daily, review shipments, Chinese exports and Rotterdam availability on release. Keep cash for margin and remaining loss budget, reduce pairs if coverage fails. No averaging down.

3. Supply Policy Dynamics:

Quota remains discretionary: ARECOMS can adjust or withdraw cobalt export quotas in response to market conditions, so the 96.6kt headline ceiling is not a guaranteed flow of exports.

Trade implication: Greater quota utilization or inventory release would increase near-term availability and pressure Dec-26 relative to Mar-27, supporting spread convergence. Conversely, quota tightening, withdrawals, or continued export delays could preserve prompt tightness and push the spread more negative, directly challenging the trade.